

complaint

Mr W is representing business (V). He's complained because Royal & Sun Alliance Insurance Plc (RSA) hasn't paid for damage he believes was caused by flood.

background

V's premises were damaged by a flood in 2007. RSA accepted the claim and dealt with the damage. Mr W approached RSA again in 2015 as there was further damage which he believes was caused by the flood. RSA arranged for the damage to be inspected. But it refused to assist Mr W any further as it felt he hadn't shown that the flood had caused the damage.

When he spoke to our adjudicator Mr W said the areas of concern were:

- the cellar
- the car park drains and gulleys
- paving and a tree
- the floor leading to the cellar stairs
- flooring/tiles around a pool table.

Our adjudicator didn't think that Mr W had shown that the damage to the cellar, car park or paving/tree was caused by the 2007 flood. He did think Mr W had shown that the flooring around the pool table (and the ceiling below it) had been damaged. He hadn't seen anything either way in respect of the floor leading to the cellar. He therefore recommended that RSA:

- offer to pay for the floor area around the pool table and the ceiling below it to be repaired, and
- arrange for the floor leading to the cellar to be inspected and for it to carry out the repair work necessary, if it is shown this was damaged by the flood.

RSA agreed with our adjudicator's recommendations but Mr W didn't. He later said that he'd prefer to receive a cash sum from RSA and he would arrange the repairs himself. He also said that he'd already had the floor re-carpeted. RSA subsequently offered Mr W £5,000 (the offer didn't include anything for the area around the cellar stairs because it wasn't certain that the damage was as a result of the flood). Mr W didn't accept the offer.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

In cases such as this it's for the policyholder in the first instance to show that the damage they're claiming for is covered by the policy. It's not for the insurer to show otherwise.

I've seen reports from three experts who have inspected the damage. A structural engineer said that the cause of the damage to the car park was unclear and he couldn't determine that it was due to the flood. He said the cellar could have been affected by the flood and that the adhesive on the floor covering around the pool table had failed due to moisture.

A damp specialist later said that the issues with the cellar were unlikely to have been caused by the flood. And a flooring specialist later said that water had got between the vinyl and the floor around the pool table, which had led to the adhesive degrading.

I haven't seen any expert opinion in respect of the paving/tree and the floor leading to the cellar.

I don't think Mr W has shown that the damage to the cellar, car park, paving/tree and floor was damaged by the flood. I therefore conclude that RSA's decision to not pay for this damage was fair. But I agree with our adjudicator that the fair way forward is for RSA to arrange for the floor leading to the cellar to be inspected and for it to carry out the repair work necessary, if it is shown this was damaged by the flood.

The evidence does suggest though that the flooring around the pool table was most likely damaged by the flood. I therefore agree with our adjudicator that RSA should pay for this to be repaired.

The issue now moves on to whether or not RSA's cash offer is fair. I've seen little evidence on how much these repairs would cost. RSA's offer is what its technical consultants said was fair for the repairs that were required. Mr W said that the floor was re-carpeted for approximately £4,000. With that in mind, I conclude that RSA's offer is fair.

my final decision

I uphold this complaint in part. I require Royal & Sun Alliance Insurance Plc to:

- pay V £5,000;
- arrange for the floor leading to the cellar to be inspected in order to ascertain whether it has been damaged by the 2007 flood, and arrange for this damage to be repaired if it is shown that this was damaged by the 2007 flood.

Under the rules of the Financial Ombudsman Service, I'm required to ask V to accept or reject my decision before 22 July 2016.

In closing, I note that when discussing the matter with our adjudicator Mr W said that he would accept a contribution from RSA for the flooring but not in full and final settlement as he would get his solicitor to pursue RSA for the rest. Before deciding whether or not to accept my decision, Mr W might wish to seek legal advice about whether accepting my decision will affect any later legal action he may wish to take against RSA.

Paul Daniel
ombudsman